

Kinetic Ridge Physical Therapy Partners, LLC

Outpatient Physical Therapy | Sports Medicine | Employer Onsite Programs
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MEMORANDUM

TO: Board of Managers
FROM: Adrienne Kowalczyk, CEO; Brent Oyelaran, CFO
DATE: December 15, 2025
RE: Closure of the Brownsburg clinic

Recommendation

We recommend closing the Brownsburg clinic. It has lost money every year since we acquired the practice in April 2022, visits have fallen about 10% a year, and the landlord has agreed in principle to release us from the lease, which otherwise runs to May 2029, for a one-time termination fee.

Timing

The last day of patient care will be Friday, February 27, 2026. Active patients will be offered transfer to our Avon clinic, eight miles away. Two of the five Brownsburg clinicians will transfer to Avon on March 2, 2026; the other three positions will be eliminated, with final pay and accrued PTO paid in March. Usable equipment will move to Avon and we will surrender the premises by March 31, 2026.

Adjusted EBITDA presentation

For the Project Sycamore adjusted EBITDA we will remove the Brownsburg clinic's operating results and its closure costs. Brownsburg still bills through the legacy system inherited with the practice, so its revenue posts to Xero separately from the EMR batches, and its payroll, rent and utilities carry Brownsburg-specific descriptions.

- Included: Brownsburg revenue (legacy billing postings), Brownsburg clinical payroll, rent and CAM for Suite 110, utilities, and the closure costs: the lease termination fee, legal fees for the termination, the equipment move and final pay and PTO.
- Stranded costs excluded from the adjustment: the Metro South & West regional clinical director, the ClinicFlow EMR enterprise subscription (flat fee, unchanged by the closure), the central billing office, clinical supplies ordered centrally, and employer payroll taxes and benefits for Brownsburg staff, which are not tracked by clinic.

Approved by the Board of Managers by written consent dated December 17, 2025.